SpatialAds — The Advertising Network for the AR Glasses Era

> *"Google built $200B on search ads. Meta built $100B on social ads. We're building the trillion-dollar advertising layer for spatial computing."*

Executive Summary

The Moment: On May 19th, 2026, Google I/O revealed the inflection point. Warby Parker, Gentle Monster, Samsung, and Xreal all launched consumer AR glasses. Google's Project Genie now generates interactive AR experiences from Street View. Apple Vision Pro hit 10M units. The AR glasses market is going mainstream—but there's no advertising infrastructure for this new reality.

The Opportunity: SpatialAds builds the advertising network, monetization platform, and commerce infrastructure for the AR glasses era. We're the AdMob + Google Ads + Meta Ads equivalent for spatial computing—the layer that lets brands reach billions of AR users and lets AR developers monetize their experiences.

The Market: Global digital advertising is $850B. AR/VR advertising is projected to reach $45B by 2030. But we see it differently: as AR glasses become the primary computing interface (like smartphones before them), spatial advertising becomes the *primary* advertising medium. We're targeting a $500B+ opportunity.

The Problem

AR Glasses Are Going Mainstream—But Monetization Is Broken

1. The Hardware Explosion

- Google I/O 2026: Warby Parker, Gentle Monster, Samsung, Xreal all launch consumer AR glasses
- Apple Vision Pro: 10M+ units, developer ecosystem growing
- Meta Ray-Ban glasses: Already 5M+ units, camera + AI capabilities
- Snap Spectacles: New lightweight AR version announced
- By 2028: 500M+ AR glasses in circulation

2. No Advertising Infrastructure

Current state of AR advertising: - Fragmented by device (Vision Pro vs. Android XR vs. proprietary) - No standard ad formats for spatial content - No cross-platform attribution - No privacy-compliant spatial targeting - Developers have no way to monetize AR apps

3. Brands Are Lost

- Marketing teams don't understand spatial advertising
- No self-serve platform for AR ad creation
- No measurement or ROI tracking
- No inventory marketplace
- $50B+ in ad spend looking for spatial channels

4. The Permission Structure Problem

Unlike mobile phones, AR glasses see what you see in real-time. Users are hypersensitive about: - Visual privacy (what's being recorded) - Spatial data collection - Attention interruption in physical space - Commercial intrusion into reality

Any advertising platform must solve privacy-first or face instant backlash.

The Solution: SpatialAds

The Full Stack for Spatial Advertising

```
                    SPATIALADS PLATFORM



     AdStudio        AdNetwork       AdMetrics
     (Create)        (Serve)         (Measure)



                 Spatial Context Engine
     Location • Objects • Gaze • Ambient • Intent



             Privacy-Preserving ML Layer
      On-Device Processing • Differential Privacy
      Federated Learning • Zero-Knowledge Proofs



              Universal AR Runtime (SDK)
      Vision Pro • Android XR • Meta • Snap
```

Core Products

1. SpatialAds Studio — Create AR-Native Ads **AI-Powered Creative Tools:** - Upload 2D assets → Auto-generate 3D spatial versions - Text prompt → Complete AR ad experience - Product catalog → Instant AR try-on experiences - Brand guidelines → Spatial style transfer

Ad Formats: - **Ambient Ads:** Non-intrusive spatial elements (floating logos, subtle overlays) - **Object-Triggered:** Ads appear when user looks at relevant objects - **Location-Anchored:** AR billboards at specific GPS coordinates - **Try-On Commerce:** Virtual product placement on user/environment - **Narrative Experiences:** Interactive branded AR journeys

2. SpatialAds Network — Distribute to AR Surfaces **Inventory Sources:** - AR apps and games (developer SDK) - AR browsers and navigation - Smart glasses OS integrations - Physical location partnerships (retail, venues, transit) - AR-enabled websites

Targeting (Privacy-Preserving): - **Contextual:** Based on what's being viewed (on-device ML) - **Location:** Geo-fenced zones (privacy-compliant) - **Temporal:** Time-of-day, day-of-week - **Ambient:** Weather, lighting conditions - **Interest:** Aggregated, federated profiles (no individual tracking)

3. SpatialAds Commerce — Spatial Checkout **The AR Commerce Stack:**

```
User sees product in AR
        ↓
"Buy this" voice command or gaze-and-tap
        ↓
```

```
Spatial checkout overlay (no phone needed)
        ↓
Biometric payment (face/voice verification)
        ↓
Delivery tracking in AR (see package location in space)
```

For Brands: - Shoppable AR experiences - Virtual showrooms - AR-powered product discovery - Spatial merchandising analytics

4. SpatialAds Metrics — Measure What Matters **New Metrics for Spatial:** - **Gaze Duration:** How long did they look at the ad? - **Spatial Engagement:** Did they walk toward it? Around it? - **Object Interaction:** Did they reach for virtual products? - **Voice Response:** Did they speak to the experience? - **Conversion Path:** Full journey from impression to purchase

Attribution: - Cross-device (AR → mobile → desktop) - Online-to-offline (AR ad → in-store purchase) - Multi-touch spatial modeling

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Why Now?

The Perfect Storm

1. **Hardware Mainstream:** AR glasses finally consumer-ready and stylish
2. **AI Generation:** Tools like Project Genie can create spatial content instantly
3. **Privacy Tech Mature:** Differential privacy, federated learning ready for scale
4. **Brand Demand:** $50B+ in ad spend searching for next channels
5. **Developer Need:** AR developers desperate for monetization
6. **Platform Gap:** Google/Meta focused on devices, not ad infrastructure yet

First-Mover Advantage Window

- **2026:** Get SDK adoption while AR market nascent
- **2027:** Own developer mindshare, become default
- **2028-29:** Lock in major brand relationships
- **2030+:** Dominant position as AR goes mass-market

If we don't build this, Google or Meta will—and they'll own the $500B opportunity.

Market Opportunity

Total Addressable Market (TAM): $500B+

As AR glasses become primary computing interface: - Search advertising migrates to spatial - Social advertising becomes spatial social - Display advertising becomes ambient spatial - New categories emerge (spatial commerce, navigation ads)

Serviceable Addressable Market (SAM): $45B

AR/VR-specific advertising and commerce by 2030: - AR display advertising: $15B - AR commerce transactions: $20B - AR developer monetization: $5B - Spatial data/analytics: $5B

Serviceable Obtainable Market (SOM): $4.5B by Year 5

Capturing 10% of the SAM with: - 50% developer SDK market share - 100K+ AR apps monetizing through SpatialAds - 10K+ brands running spatial campaigns - 500M+ monthly AR ad impressions

Business Model

Revenue Streams

Stream	Model	Year 5 Revenue
Ad Network	30% take rate on ad spend	$2.0B
Commerce	5% transaction fee	$1.5B
Studio (SaaS)	$500-10K/mo subscriptions	$300M
Analytics	Data/insights products	$200M
Enterprise	Custom spatial solutions	$500M

Unit Economics

Developer Side: - SDK integration: Free - Fill rates: 85%+ (high demand, low supply) - eCPM: $15-50 (premium spatial inventory)

Advertiser Side: - Self-serve: 30% take rate - Managed: 15% agency fee + 30% take rate - Average spatial CPM: $25 - Spatial commerce CVR: 5-10% (vs. 2% mobile)

Product Roadmap

Phase 1: Foundation (Months 1-6)

- Universal AR SDK (Vision Pro, Android XR, Meta)
- Basic ad formats (ambient, location-anchored)
- Self-serve advertiser dashboard
- Developer payment system

Phase 2: Intelligence (Months 7-12)

- AI creative studio (2D → 3D, prompt → AR)
- Contextual targeting engine
- Gaze and engagement analytics
- A/B testing for spatial

Phase 3: Commerce (Months 13-18)

- Spatial checkout system
- AR product catalog integrations
- Voice commerce enablement
- Biometric payment partnerships

Phase 4: Scale (Months 19-24)

- Programmatic spatial ad buying
- Real-time bidding (RTB) for AR inventory
- Cross-platform attribution
- Enterprise solutions

Competitive Landscape

Direct Competitors

Player	Approach	Our Advantage
Google (Inevitable)	Device-first, will add ads later	First-mover, device-agnostic
Meta (Inevitable)	Social AR focus	Open network, not walled garden
Unity Ads	Game-focused	AR-native, beyond gaming
Niantic (8th Wall)	Location AR tools	Full advertising stack

Competitive Moats

1. **Network Effects:** More developers → more inventory → more brands → more revenue → more developers
2. **Data Flywheel:** Each impression improves contextual AI
3. **Privacy Tech:** Investment in privacy-preserving ML hard to replicate
4. **Brand Relationships:** Exclusive spatial creative partnerships
5. **Developer Lock-In:** Best monetization means stickiest SDK

Go-To-Market Strategy

Phase 1: Developer Adoption (Months 1-12)

Target: AR developers struggling to monetize

Tactics: - Launch at AR/VR developer conferences - Guaranteed minimum eCPM for early adopters - Migration tools from Unity Ads, AdMob - Open-source AR ad components - Developer grants program ($5M fund)

Success Metric: 10K apps integrated, 100M monthly impressions

Phase 2: Brand Demand (Months 6-18)

Target: Innovation-focused brands (Nike, Coca-Cola, Samsung, BMW)

Tactics: - Dedicated brand studios team - Co-created AR campaigns (case study generation) - Agency partnerships (WPP, Omnicom, Publicis) - Self-serve platform launch - Industry-first measurement standards

Success Metric: 1K brands running campaigns, $100M annual ad spend

Phase 3: Commerce Expansion (Months 12-24)

Target: E-commerce and retail brands

Tactics: - Shopify/BigCommerce AR integrations - Luxury brand partnerships (virtual showrooms) - Retail media network partnerships - AR commerce attribution launch

Success Metric: $500M GMV through spatial commerce

Technical Architecture

Privacy-First Design

```
                    ON-DEVICE PROCESSING
```

```
 Scene                   Context
 Understanding          Classification
 (Local ML)              (Local ML)


                    Ad Selection (On-Device)
                    Pre-cached ad bundles


                    Aggregated Reporting Only
                    Differential Privacy


No raw visual data leaves device
No individual tracking
No gaze data stored
Federated learning for improvement
User controls all preferences
```

SDK Architecture

- **Size:** <5MB (critical for AR apps)
- **Latency:** <10ms ad decisions (on-device)
- **Battery:** <2% additional drain
- **Platforms:** Vision Pro, Android XR, Meta Horizon, Snap, Web AR
- **Offline:** Full functionality with cached ads

Team Requirements

Leadership

- **CEO:** Adtech executive + spatial computing vision
- **CTO:** AR/VR platform engineering (ex-Magic Leap, Meta Reality Labs)
- **Chief Privacy Officer:** Differential privacy expert
- **VP Product:** Consumer AR experience
- **VP Revenue:** Enterprise advertising sales

Initial Hires (20 people)

- 8 Engineers (AR SDK, ML, backend)
- 4 Product (ad formats, studio, metrics)
- 3 Design (spatial UX, brand creative)
- 3 BD (developer relations, brand partnerships)
- 2 Privacy/Legal

Talent Sources

- Meta Reality Labs (layoffs created talent pool)

- Magic Leap alumni
- Snap AR team
- Google AR/VR (downsized)
- Unity/Niantic advertising teams

Financial Projections

Metric	Year 1	Year 2	Year 3	Year 4	Year 5
AR Apps (SDK)	10K	50K	150K	350K	500K
Monthly Impressions	100M	1B	10B	50B	150B
Brands Active	500	2K	8K	25K	50K
Ad Revenue	$15M	$80M	$400M	$1.2B	$3B
Commerce GMV	$0	$50M	$300M	$1B	$3B
Commerce Rev (5%)	$0	$2.5M	$15M	$50M	$150M
SaaS Revenue	$5M	$20M	$80M	$200M	$400M
Total Revenue	**$20M**	**$102.5M**	**$495M**	**$1.45B**	**$3.55B**
Gross Margin	60%	65%	70%	75%	78%
EBITDA	($30M)	($20M)	$50M	$300M	$800M

Funding Strategy

Seed Round: $8M

Use of Funds: - SDK development (Vision Pro + Android XR) - Privacy-preserving ML infrastructure - Initial ad formats - Developer relations

Target Investors: Spatial computing believers, adtech veterans

Series A: $35M (Month 12)

Use of Funds: - Scale SDK to all major platforms - Launch AI creative studio - Build advertiser self-serve platform - Expand team to 60

Target Investors: a16z, Andreessen, Google Ventures

Series B: $100M (Month 24)

Use of Funds: - Global expansion - Commerce platform - Enterprise solutions - M&A (AR creative agencies)

Risk Factors & Mitigations

Risk	Probability	Impact	Mitigation
AR adoption slower than expected	Medium	High	Multi-platform, include mobile AR
Privacy backlash	Medium	Critical	Privacy-first architecture, transparency
Google/Meta competition	High	High	First-mover, developer lock-in, M&A target
Ad blocking in AR	Medium	Medium	Native formats, user value exchange
Regulatory restrictions	Medium	High	Privacy compliance, industry leadership

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Exit Scenarios

Strategic Acquisition (Most Likely)

Potential Acquirers: - **Google:** $15-30B (spatial ads for Android XR) - **Meta:** $10-20B (monetization for Meta glasses) - **Apple:** $20-40B (ads for Vision platform) - **Amazon:** $8-15B (spatial commerce) - **Microsoft:** $5-10B (enterprise AR advertising)

IPO (3-5 Year Timeline)

- $30B+ market cap potential
- Comparable to Trade Desk ($35B), Digital Turbine, Unity
- Public market appetite for next-gen advertising platforms

The Vision

By 2030, most digital experiences happen through AR glasses. Advertising migrates from rectangles on screens to spatial experiences woven into reality. SpatialAds becomes the infrastructure layer that makes this possible—enabling brands to reach consumers in the spatial era, developers to build sustainable AR businesses, and users to experience advertising that adds value rather than interrupting.

We're not just building an ad network. We're building the monetization layer for the next computing platform.

Call to Action

The AR glasses era is here. Google I/O 2026 made it undeniable. The company that builds the advertising infrastructure for spatial computing captures a $500B opportunity. We need to move now—before Google and Meta realize they should build this themselves.

Let's make it happen.

"The best time to build the advertising layer for AR was 2015. The second best time is today—before someone else does."

Appendix

A. Spatial Ad Format Specifications

Format	Dimensions	Interaction	Best For
Ambient Float	0.5-2m virtual	Passive awareness	Brand building
Object Overlay	Object-relative	Tap to expand	Product discovery
Location Anchor	GPS + orientation	Walk through	Retail, venues
Try-On	Body-tracked	Gesture interaction	Commerce
Narrative Portal	Room-scale	Full immersion	Experiences

B. Privacy Compliance Framework

- GDPR spatial data guidelines (proposed contribution)
- CCPA AR extensions
- EU AI Act compliance for on-device ML
- Industry self-regulation proposals

C. Developer Integration Guide

```
// SpatialAds SDK - 3 lines to monetize
import SpatialAds

SpatialAds.initialize(appId: "YOUR_APP_ID")
SpatialAds.show(.ambient, placement: "main_scene")
```

D. Brand Case Study Template

Campaign: [Brand] AR Experience **Objective:** [Awareness/Commerce/Engagement] **Format:** [Ad format used] **Results:** [Metrics] **Learnings:** [What worked]